bestoasis

Recycling with the Best

Weekly Ship Recycling Report

20 July - 26 July 2024

Visit : www.best-oasis.com

Email: bol@bol.ae

Head Office: 3201, Saba Tower 1, Cluster E, Jumeirah Lake Towers, Dubai, U.A.E

Contact: +971 4575 4667

Highlights of the week

This week, ship recycling industry faced significant challenges across multiple regions. In India, the market has experienced a consistent decline over recent weeks, intensified by a pronounced lack of local demand and a shortage of available tonnage. Additionally, extensive and persistent rainfall has further hindered market activities. In Bangladesh, recycling activities have remained sluggish since last month, even before the recent emergency. The impact of the riots on the market will become clearer next week, contingent on the government's response. In Pakistan, the market continues to exhibit lethargy, with demand further diminishing and no signs of revival, prolonging an already extended period of inactivity. Similarly, Türkiye's market struggles with low supply and overall activity, mirroring the broader challenges faced by subcontinent yards.

In June 2024, global crude steel production for 71 countries reached 161.4 million tonnes (MT), a 0.5% increase from June 2023. China produced 91.6 MT, up 0.2%, while India produced 12.3 MT, up 6.0%. Japan's output fell to 7.0 MT, down 4.2%, and the U.S. produced 6.7 MT, down 1.5%. Russia's production was 6.0 MT, down 4.1%, and South Korea's fell to 5.1 MT, down 7.2%. Germany produced 3.2 MT, down 8.9%, while Türkiye and Brazil increased production to 3.1 MT and 2.9 MT, up 4.3% and 11.8%, respectively. Iran produced 2.6 MT, down 8.5%.

Exchange Rates:

USD / INR ₹

This Week	: 83.71
Previous Week	: 83.63
Lost	: 0.08

USD / BDT ৳

This Week	: 117.48
Previous Week	: 117.71
Gained	: 0.23

USD / PKR Rs

This Week	: 278.28
Previous Week	: 278.09
Lost	: 0.19

USD / TRY ₺

This Week	: 33.05
Previous Week	: 33.11
Gained	: 0.06

India

Market downturn driven by low demand, tonnage shortages, and persistent rainfall.

- The market has been experiencing a consistent decline over the past few weeks, with a notable further downturn observed recently.
- Contributing factors include a significant lack of local demand and a shortage of available tonnage. Additionally, extensive rainfall has been widespread across the country.
- The Union Budget for 2024–25 includes cutting import duties on key raw materials for the steel industry and increasing spending on infrastructure and affordable housing. Ferronickel imports will no longer face a 2.5% duty, 25 critical minerals will have zero duty, and the exemption for ferrous scrap will extend until March 31, 2026.
- Large imports of Chinese steel are impacting Indian steelmakers, who are currently negotiating with the government for fair market conditions. The weakened global steel market and increased imports into India have squeezed local steelmakers' margins, despite growing domestic demand.

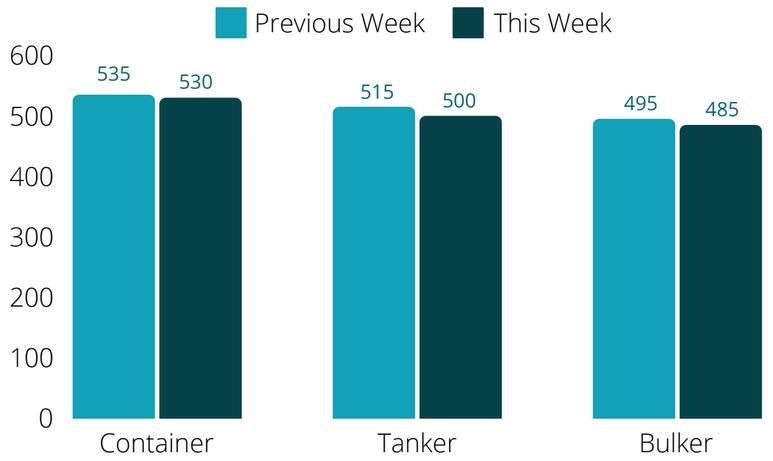
Beaching Dates

26 July to 27 July 2024

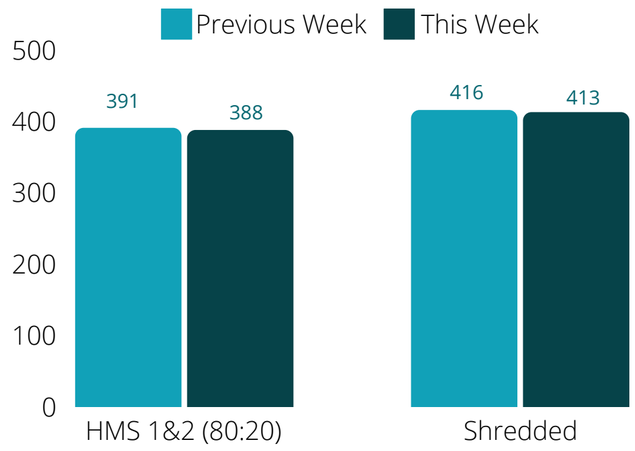
31 July to 08 August 2024

17 August to 26 August 2024

Price for Recycling Ships in India



Price of HMS 1&2 (80:20) and Shredded

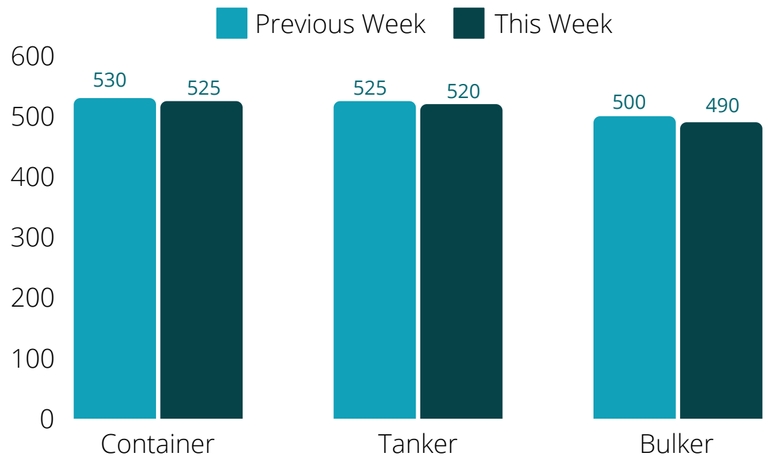


Bangladesh

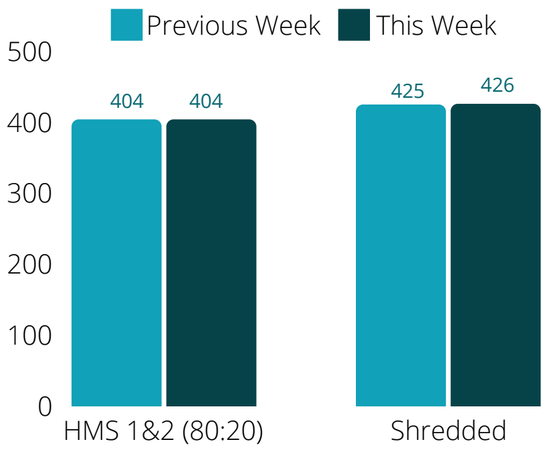
Market uncertainty slows recycling activities, clarity expected next week.

- Recycling activities have been slow since last month, even before the emergency, and continue to be sluggish.
- Clarity on the market and the recent impact of the riots will be clearer next week, as it remains to be seen how the government will bounce back.
- Dhaka resumed normal activities as the curfew was lifted following a four-day shutdown due to university student protests over government job quotas. Offices reopened, and broadband internet was largely restored, although social media remained suspended.

Price for Recycling Ships in Bangladesh



Price of HMS 1&2 (80:20) and Shredded



Beaching Dates

04 August to 07 August 2024
19 August to 22 August 2024
02 September to 05 September

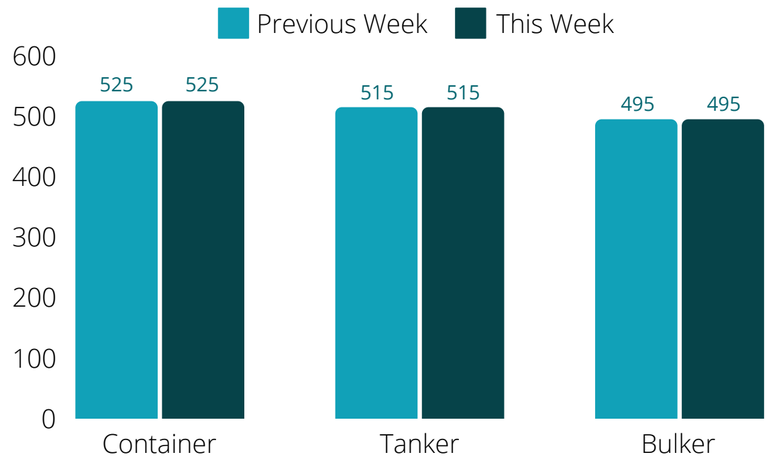
Pakistan

Market remains sluggish and quiet as demand continues to decline further.

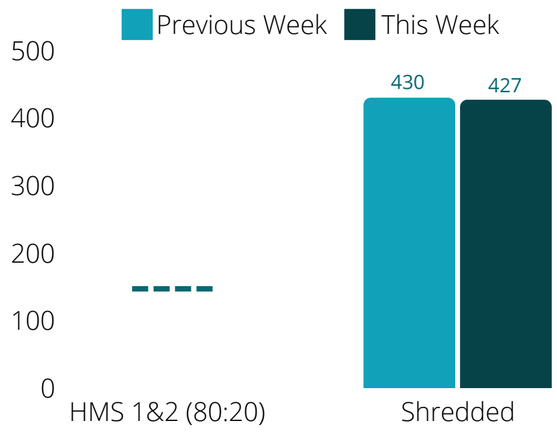
- The market continues to exhibit sluggishness, with no signs of improvement. In fact, the demand has decreased even further. This market has been relatively quiet for quite some time now.

- Pakistan's central bank is expected to reduce its key interest rate again in its upcoming policy meeting, the first since a staff-level agreement with the IMF and the new state budget. In June, the central bank cut the rate by 150 bps from a record 22 percent, its first reduction in nearly four years, aiming to boost growth amid declining retail inflation. Inflation has since continued to slow.

Price for Recycling Ships in Pakistan



Price of HMS 1&2 (80:20) and Shredded



Beaching Dates

Throughout the month

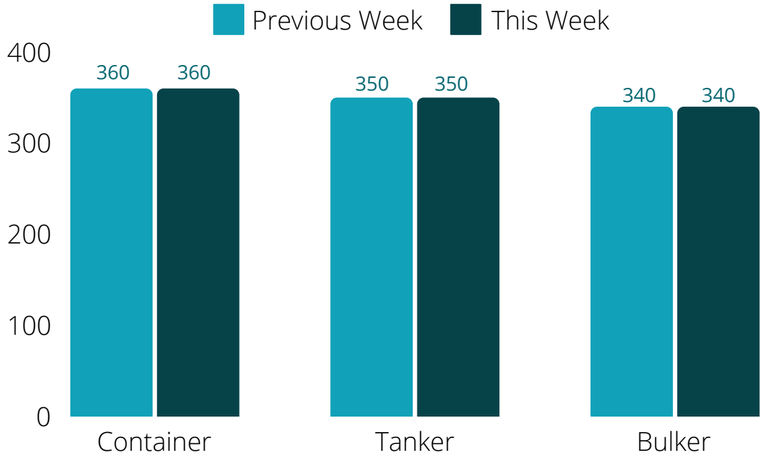
Türkiye

Sluggish market mirrors subcontinent yard challenges with low ship recycling and activity.

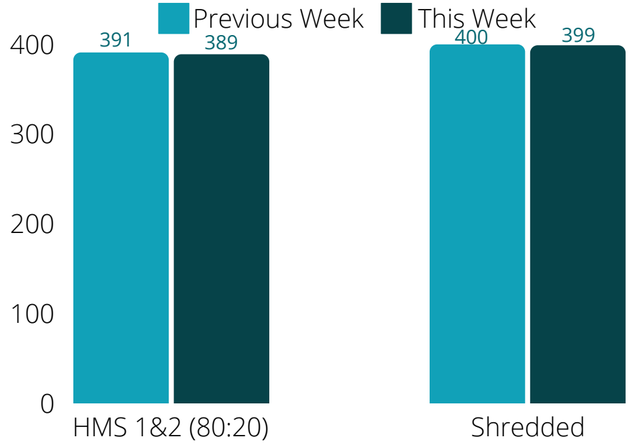
- The market continues to experience sluggish conditions. Both the supply of ships for recycling and overall market activity are notably low. This situation aligns with the current conditions in subcontinent yards, reflecting similar market challenges.

- Türkiye's Central Bank maintained interest rates at 50%, after recent reports indicated a slowdown in the country's high inflation for the first time in eight months. The Monetary Policy Committee decided to keep the rate unchanged as June's year-on-year inflation, although reduced, still exceeded 70%.

Price for Recycling Ships in Türkiye



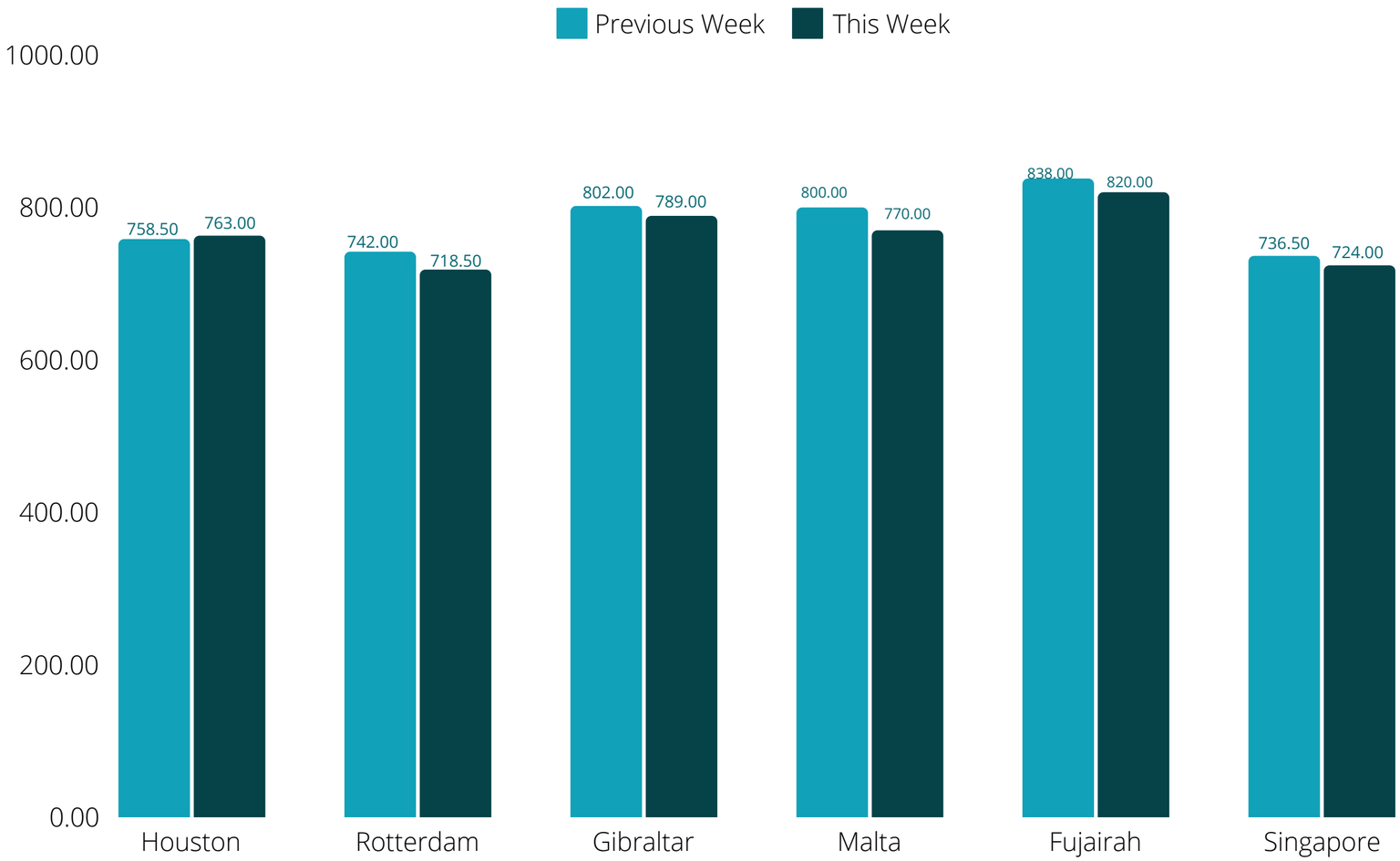
Price of HMS 1&2 (80:20) and Shredded



Beaching Dates

Throughout the month

Bunker Prices at Port



Brent Crude

This Week	: 82.33
Previous Week	: 84.53
Movement	: - 2.20

WTI Crude

This Week	: 78.19
Previous Week	: 82.12
Movement	: - 3.93

List of Vessels Sold this Week

VESSEL NAME	TYPE OF VESSEL	IMO NO.	YEAR OF BUILD	COUNTRY OF BUILD	LDT	TERM OF SALE	LOCATION OF DELIVERY	SALE PRICE/LDT (USD)
SIA 30	GENERAL CARGO SHIP	7824613	1979	GERMANY	2,586	DELIVERED	CHITTAGONG,BANGLADESH	530
PIONEER	POLLUTION CONTROL VESSEL	7528843	1978	USA	1,348	DELIVERED	CHITTAGONG,BANGLADESH	530

Contact Us

Germany

Mr. Gerd Leopold
S&P Consultant

Phone: +49 417 188 0204
Mobile: +49 172 370 1021

Greece

Mr. Yiannis Kourkoulis
Vice President purchase

Phone: +30 210 0101 450

Mobile: +30 694 258 3977

Ms. Irini Mylona
Commercial Executive

Phone: +30 210 0101 450
Mobile: +30 694 484 3136

South Korea

Mr. Jason K.M. Byun
Company Representative

Phone: +82 010 6282 0121

U.A.E.

Mr. Naren Sampath
Ship Broker - Purchase

Phone: +971 4575 4667
Mobile: +971 55 836 9147

Mr. Asif Ali
Ship Broker - Purchase

Phone: +971 4575 4667
Mobile: +971 58 645 0162

China

Mr. Xinchen Xu
Company Representative

Mobile: +86 136 6600 0719

Japan

Mr. T Ishii
Company Representative

Work: +81 354 522 405
Mobile: +81 901 536 1497

Disclaimer: While every care has been taken to ensure that the information in this publication is accurate, Best Oasis Limited can accept no responsibility for any error or omissions or any consequences arising therefrom. Figures are based on the latest available information on various platforms, which is subject to subsequent revisions and corrections. Reproducing any material from this report without permission from Best Oasis Limited is strictly prohibited. This Weekly Ship Recycling Report is prepared by **Varsha Mishra (Marketing & HR Manager)**. Any comments or viewpoints expressed are those of the author alone, not necessarily the Best Oasis Company.